PRINCIPLES OF ECONOMICS (Sec: H)

FINAL TERM ASSIGNMENT

TOTAL MARKS: 50 (5*10=50)

DUE DATE: DECEMBER 10 (TUESDAY)

LATE SUBMISSION: MARKS WILL BE DEDUCTED

I. Answer all the Questions. (5*10=50).

1. Below are the data of Biscuits and Cakes in an economy

YEAR	PRICE OF BISCUITS	QUANTITY OF BISCUITS	PRICE OF CAKE	QUANTITY OF CAKE
2017 (Base year)	$10	100	$200	50
2018	$10	200	$200	10
2019	$20	200	$400	10

a) **Compute nominal GDP, real GDP and GDP deflator for each year. (5)**
b) **Compute the percentage change in nominal GDP, real GDP and GDP deflator in 2018 and 2019 from the preceding year. (5)**

2. A market's fixed basket of Goods: 4 burgers; 2 pizzas

YEAR	PRICE OF BURGERS	PRICE OF PIZZAS
2017 (base year)	$1	$2
2018	2	3
2019	3	4

a) **Compute the cost of the basket of goods in each year AND Compute the consumer price index in each year. (5)**
b) **Compute the inflation rate for the year 2018 and 2019. (5)**

3. **Compute the labor force, unemployment rate, adult population, and labor force participation rate using this data. (10)**

Adult population of Bangladesh by group	
No. of employed	**125.8 million**
No. of unemployed	**10.9 million**
Not in labor force	**79.2 million**

4. **Imagine that the government starts with a balanced budget and then, because of a tax increase, starts running a budget surplus. Now analyze the effects of budget surplus in the market of loanable funds. Explain with diagram (10).**
5. **Describe the tools of monetary policy. How the tools can be used for an expansionary monetary policy in a country? -Discuss. (10).**